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# From Geopolitics to Geo-Economics

## *Logic of Conflict, Grammar of Commerce*

—Edward N. Luttwak—

EXCEPT FOR THOSE unfortunate parts of the world where armed confrontations or civil strife persist for purely regional or internal reasons, the waning of the Cold War is steadily reducing the importance of military power in world affairs.

True, in the central strategic arena, where Soviet power finally encountered the *de facto* coalition of Americans, Europeans, Japanese, and Chinese, existing military forces have diminished very little so far. Nevertheless, as a Soviet-Western war becomes ever more implausible, the ability to threaten or reassure is equally devalued (and by the same token, of course, there is no longer a unifying threat to sustain the coalition against all divisive impulses). Either way, the deference that armed strength could evoke in the dealings of governments over all matters—notably including economic questions—has greatly declined, and seems set to decline further.

Everyone, it appears, now agrees that the methods of commerce are displacing military methods—with disposable capital in lieu of firepower, civilian innovation in lieu of military-technical advancement, and market penetration in lieu of garrisons and bases. But these are all tools, not purposes; what purposes will they serve?

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If the players left in the field by the waning importance of military power were purely economic entities—labor-sellers, entrepreneurs, corporations—then only the logic of commerce would govern world affairs. Instead of World Politics, the intersecting web of power relationships on the international scene, we would simply have World Business, a myriad of economic interactions spanning the globe. In some cases, the logic of commerce would result in fierce competition. In others, the same logic would lead to alliances between economic entities in any location to capitalize ventures, vertically integrate, horizontally co-develop, co-produce, or co-market goods and services. But competitively or cooperatively, *the action on all sides would always unfold without regard to frontiers.*

If that were to happen, not only military methods but the logic of conflict itself—which is adversarial, zero-sum, and paradoxical—would be displaced. This, or something very much like it, is in fact what many seem to have in mind when they speak of a new global interdependence and its beneficial consequences.<sup>1</sup>

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<sup>1</sup>The logic of conflict is “zero-sum” since the gain of one side is the loss of the other, and vice versa. That is so in war, in geopolitical confrontations short of war, and in oligopolistic competition (as the market share of one oligopolist can only increase at the expense of another’s); but not in a many-sided (“perfect”)

**B**UT THINGS are not quite that simple. The international scene is still primarily occupied by states and blocs of states that extract revenues, regulate economic as well as other activities for various purposes, pay out benefits, offer services, provide infrastructures, and—of increasing importance—finance or otherwise sponsor the development of new technologies and new products. As territorial entities, spatially rather than functionally defined, states can-

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competition, wherein any two sides can both gain (or lose) market shares concurrently. The logic of conflict is paradoxical (i.e., governed by apparent contradictions and the coincidence of opposites) because all actions unfold in the presence of an adversary that reacts against whatever is being done. That is why—to give a static example—the worst of approach roads for an attack may be the best, if it confers the advantage of surprise (making the bad road paradoxically good and the good road paradoxically bad). Or, to give a dynamic example—involving the coincidence of opposites—why victorious armies that advance too far advance to their own defeat by overextension, just as weapons that are too effective are the most likely to be made ineffectual by the enemy countermeasures that their very effectiveness evokes. This same dynamic evolution toward the coincidence of opposites is operative at every level of strategy: thus the Soviet Union's accumulation of power eventually resulted in its impotence, as other states were frightened into forming a coalition against Moscow. In all dynamic manifestations of the logic of conflict there is such a culminating point, beyond which actions evolve into their opposite. In the linear logic of everyday life (and economic competition), by contrast, good is good and bad is bad, and success can facilitate further success without any necessary culminating point. For a systematic comparison, see my *Strategy: the Logic of War and Peace* (Cambridge: Harvard University Press, 1987).

not follow a commercial logic that would ignore their own boundaries.

What logic then do they follow?

- Do they seek to collect as much in revenues as their fiscal codes prescribe—or are they content to let other states or blocs of states tax away what they themselves could obtain? Since the former is the reality (that is, a zero-sum situation in which the gain of one is the loss of another), here the ruling logic is the logic of conflict.
- Do they regulate economic activities to achieve disinterestedly transnational purposes—or do they seek to maximize outcomes within their own boundaries, even if this means that the outcomes are suboptimal elsewhere? Since the latter is the predominant, if not exclusive, reality, economic regulation is as much a tool of statecraft as military defenses ever were. Hence, insofar as external repercussions are considered, the logic of state regulation is *in part* the logic of conflict. As such, its attributes include the typically warlike use of secrecy and deception for the sake of surprise (as, for example, when product standards are first defined in secret consultations with domestic producers, long before their public enunciation).
- Do states and blocs of states pay out benefits and offer services transnationally—or (fractional aid allocations apart) do they strive to restrict such advantages to their own residents? Likewise, do they design infrastructures to maximize their transnational utility—or do they aim for domestically optimal and appropriately competitive configurations, regardless of how others are affected? Since the latter is the reality, the logic of state action is again *in part* the logic of conflict. (The competitive building of huge international airports in adjacent, minuscule, Persian Gulf sheikdoms is an extreme example of such behavior, but such conduct is not uncommon in milder forms.)
- Finally, do states and blocs of states promote technological innovation for its own sake—or do they seek thereby to maximize benefits within their own boundaries? Since the latter is the reality, the logic of conflict

applies. (Three obvious examples are the obstacles that long delayed the introduction of Concorde flights into U.S. airports, Japanese barriers against U.S. supercomputers and telecommunications, and the development of rival High Definition Television formats.)

As this is how things are, it follows that—even if we leave aside the persistence of armed confrontations in unfortunate parts of the world and wholly disregard what remains of the Cold War—World Politics is still not about to give way to World Business, i.e., the free interaction of commerce governed only by its own nonterritorial logic.

Instead, what is going to happen—and what we are already witnessing—is a much less complete transformation of state action represented by the emergence of “Geo-economics.” This neologism is the best term I can think of to describe the admixture of the logic of conflict with the methods of commerce—or, as Clausewitz would have written, the logic of war in the grammar of commerce.

### *The Nature of the Beast*

WITH STATES and blocs of states still in existence, it could not be otherwise. As spatial entities structured to jealously delimit their own territories, to assert their exclusive control within them, and variously to attempt to influence events beyond their borders, states are inherently inclined to strive for relative advantage against like entities on the international scene, even if only by means other than force.

Moreover, states are subject to the internal impulses of their own bureaucracies, whose officials compete to achieve whatever goals define bureaucratic success, including goals in the international economic arena that may as easily be conflictual as competitive or cooperative. Actually much more than that is happening: *As bureaucracies writ large, states are themselves impelled by the bureaucratic urges of role-preservation and role-enhancement to acquire*

*a “geo-economic” substitute for their decaying geopolitical role.*

There is also a far more familiar phenomenon at work: the instrumentalization of the state by economic interest groups that seek to manipulate its activities on the international scene for their own purposes, often by requiring adversarial “geo-economic” stances. No sphere of state action is immune: fiscal policy can be profitably used so as to place imports at a disadvantage; regulations, benefits, services, and infrastructures can all be configured to favor domestic interests in various ways; and, of course, the provision of state funds for domestic technological development is inherently discriminatory against unassisted foreign competitors.

The incidence of both adversarial bureaucratic impulses and adversarial manipulations of the state by interest groups will vary greatly from country to country. But fundamentally, states will tend to act “geo-economically” simply because of what they are: spatially-defined entities structured to outdo each other on the world scene. For all the other functions that states have acquired as providers of individual benefits, assorted services, and varied infrastructures, their *raison d’être* and the ethos that sustains them still derive from their chronologically first function: to provide security from foes without (as well as outlaws within).

Relatively few states have had to fight to exist, but all states exist to fight—or at least they are structured as if that were their dominant function. Even though most of the existing 160-odd independent states have never fought any external wars, and most of those that have fought have not done so for generations, the governing structures of the modern state are still heavily marked by conflictual priorities, the need to prepare for, or to wage, interstate conflict. In how many major countries does the Minister for Telecommunications, or Energy, or Trade outrank the Defense Minister? Only—appropriately enough—in Japan, where Defense (*Boeibo*) is a *Cbo* or lesser department (translated as agency), as opposed to a *Sbo* or

ministry, as in *Tsusansho*, the Ministry of Trade. The *Boecho's* head, while a minister, does not hold cabinet rank.

It is true, of course, that, under whatever name, "geo-economics" has always been an important aspect of international life. In the past, however, the outdoing of others in the realm of commerce was overshadowed by strategic priorities and strategic modalities. Externally, if the logic of conflict dictated the necessity for cooperation against a common enemy while, in contrast, the logic of commerce dictated competition, the preservation of the alliance was almost always given priority. (That indeed is how all the commercial quarrels between the United States and Western Europe—over frozen chickens, microchips, beef, and the rest—and between the United States and Japan—from textiles in the 1960s to supercomputers in the 1980s—were so easily contained during the past decades of acute Soviet-Western confrontation. As soon as commercial quarrels became noisy enough to attract the attention of political leaders on both sides, they were promptly suppressed by those leaders—often by paying off all parties—before they could damage political relations and thus threaten the imperative of strategic cooperation.) Internally, insofar as national cohesion was sustained against divisive social and economic tensions by the unifying urgencies of external antagonisms, it was armed conflict or the threat of it—not commercial animosities—that best served to unite nations.

NOW, HOWEVER, as the relevance of military threats and military alliances wanes, geo-economic priorities and modalities are becoming dominant in state action. Trade quarrels may still be contained by the fear of the economic consequences of an action-reaction cycle of punitive measures, but they will no longer simply be suppressed by political interventions on both sides, urgently motivated by the strategic imperative of preserving alliance cooperation against a common enemy. And if internal cohesion has to be preserved by a unifying

threat, that threat must now be economic. Such a reordering of modalities is already fully manifest in the expressed attitudes of other Europeans to the new undivided Germany, and even more so in American attitudes toward Japan. Gorbachev's redirection of Soviet foreign policy had barely started when Japan began to be promoted to the role of the internally unifying Chief Enemy, judging by the evidence of opinion polls, media treatments, advertisements, and congressional pronouncements.

Should we conclude from all this that the world is regressing to a new age of mercantilism? Is that what "geo-economics" identifies, quite redundantly? Not so. The goal of mercantilism was to maximize gold stocks, whereas the goal of geo-economics (aggrandizement of the state aside) could only be to provide the best possible employment for the largest proportion of the population. In the past, moreover, when commercial quarrels evolved into political quarrels, they could become military confrontations almost automatically; and in turn military confrontations could readily lead to war.

In other words, mercantilism was a *subordinated modality*, limited and governed by the ever-present possibility that the loser in the mercantilist (or simply commercial) competition would switch to the grammar of war. Spain might decree that all trade to and from its American colonies could only travel in Spanish bottoms through Spanish ports, but British and Dutch armed merchantmen could still convey profitable cargoes to disloyal colonists in defiance of Spanish sloops; and, with war declared, privateers could seize outright the even more profitable cargoes bound for Spain. Likewise, the Dutch sent their frigates into the Thames to reply to the mercantilist legislation of the British Parliament that prohibited their cabotage, just as much earlier the Portuguese had sunk Arab ships with which they could not compete in the India trade.

"Geo-economics," on the other hand, is emerging in a world where there is *no superior modality*. Import-restricted supercomputers

cannot be forcibly delivered by airborne assault to banks or universities in need of them, nor can competition in the world automobile market be assisted by the sinking of export car ferries on the high seas. That force has lost the role it once had in the age of mercantilism—as an *admissible* adjunct to economic competition—is obvious enough. But of course the decay of the military grammar of geopolitics is far more pervasive than this, even if it is by no means universal.<sup>2</sup>

Students of international relations may still be taught to admire the classic forms of *realpolitik*, with its structure of anticipatory calculations premised on the feasibility of war. But for some decades now the dominant elites of the greatest powers have ceased to consider war as a practical solution for military confrontations between them, because non-nuclear fighting would only be inconclusively interrupted by the fear of nuclear war, while the latter is self-inhibiting. (In accordance with the always paradoxical logic of conflict, the application of the fusion technique meant that nuclear weapons exceeded the culminating point of utility, becoming less useful as they became more efficient.)

For exactly the same reason, military confrontations were themselves still considered very much worth pursuing—and rightly so, for war was thereby precluded throughout the decades of Soviet-Western antagonism. More recently, however, the dominant elites of the greatest powers appear to have concluded that military confrontations between them are only dissuasive of threats that are themselves most implausible. It is that new belief that has caused the decisive devaluation of military strength as an instrument of statecraft in the direct relations of the greatest powers.

Hence, while the methods of mercantilism could always be dominated by the methods of war, in the new “geo-economic” era not only the *causes* but also the *instruments* of conflict must be economic. If commercial quarrels do lead to political clashes, as they are now much more likely to do with the

waning of the imperatives of geopolitics, those political clashes must be fought out with the weapons of commerce: the more or less disguised restriction of imports, the more or less concealed subsidization of exports, the funding of competitive technology projects, the support of selected forms of education, the provision of competitive infrastructures, and more.

### *Playing the New Game*

THE DISCUSSION so far has focused on the actual and prospective role of states and, by implication, of blocs of states engaged in “geo-economic” conduct. But what happens on the world economic scene will not of course be defined by such conduct; indeed the role of “geo-economics” in the doings and undoings of the world economy should be far smaller than the role of geopolitics in world politics as a whole.

First, the propensity of states to act geo-economically will vary greatly, even more than their propensity to act geopolitically. For reasons historical and institutional, or doctrinal and political, some states will maintain a strictly *laissez faire* attitude,

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<sup>2</sup>In the train of history, the last wagons, such as the fragile states of sub-Saharan Africa, are still prebellic: they cannot yet wage war on each other, because regimes sustained only by the direct force of their armies cannot send those armies away to remote frontiers. The wagons at the head of the train by contrast are now postbellic because their ruling elites have become convinced that they cannot usefully fight one another. Only the wagons in the middle—countries such as India, Israel, Iran, Iraq, and a few others—are still capable of war with each other. But of course the train of history can not only stop but reverse its direction: in the second century B.C. the Romans already categorized prebellic societies (tribes too loosely organized to resist them) and advanced postbellic societies (of the Hellenized east) for which war could not be profitable. Things changed.



simply refusing to act “geo-economically.” Both the very prosperous and the very poor might be in that category, just as both Switzerland and Burma have long been geopolitically inactive. In other cases, the desirable scope of geo-economic activism by the state is already becoming a focal point of political debate and partisan controversy: witness the current Democratic-Republican dispute on “industrial policy” in the United States. In still other cases, such as that of France, the dominant elites that long insisted on a very ambitious degree of geopolitical activism (ambitious, that is, in terms of the resources available) are now easily shifting their emphasis to demand much more geo-economic activism from the French state. And then, of course, there are the states—Japan most notably—whose geo-economic propensities are not in question.

Second, there is the much more important limitation that states and blocs of states acting “geo-economically” must do so within an arena that is not exclusively theirs, in which they coexist with private economic operators large and small, from individuals to the largest multinational corporations. While states occupy virtually all of the world’s political space, they occupy only a fraction of the total economic space, and global political-economic trends such as privatization are reducing that fraction even further. (On the other hand, the role of states is increasing precisely in the economic sectors whose importance is itself increasing, sectors defined by the commercial application of the most advanced technologies.)

Of the different forms of coexistence between geo-economically active states and private economic operators, there is no end. Coexistence can be passive and disregarded, as in the relationship (or lack of it) between the state and the myriad of small, localized service businesses. With neither wanting anything from the other—except for the taxes that the fiscal authorities demand—the two can simply coexist without interacting or communicating.

At the opposite extreme, there is the

intense positive interaction between politically weighty businesses in need of state support on the world economic scene, and the bureaucracies or politicians that they seek to manipulate for their own purposes. Or, going the other way, there is the equally intense and equally positive interaction that occurs when states seek to guide large companies for their own geo-economic purposes, or even select them as their “chosen instrument” (a specialized form of coexistence that dates back at least to the seventeenth-century East India companies, Dutch and Danish as well as, most famously, British).

Even more common, no doubt, are the cases of reciprocal manipulation, most notably in the remarkably uniform dealings of the largest international oil companies—whether American, British, or French—with their respective (and otherwise very different) state authorities. In each case, the state has been both user and used, and the companies both instruments and instrumentalizers.

Negative state-private sector interactions are not likely to be common, but they could be very important when they do occur. Geo-economically active states that oppose rival foreign states will also obviously oppose private foreign companies that are the chosen instruments of those rivals, as well as private foreign companies that simply have the misfortune to stand in the way. An era of intense “geo-economic” activity might thus become an era of unprecedented risk for important private companies in important sectors. If they invest  $Y$  million of their funds to develop  $X$  technology, they may find themselves irremediably overtaken by the  $X$  project of country  $Z$ , funded by the taxpayer in the amount of  $2Y$  million, or  $20Y$  million for that matter. Or private companies may find themselves competing with foreign undercutters determined to drive them out of business, and amply funded for that purpose by their state authorities. As public funding for such purposes is likely to be concealed, a victim-company may enter a market quite unaware of its fatal disadvantage. In such diverse ways the international economy will be pervasively

affected by that fraction of its life that is geo-economic rather than simply economic in character (just as in the past the geopolitical activity of the few greatest powers decisively conditioned the politics of the many).

Perhaps the pan-Western trade accords of the era of armed confrontation with the Soviet Union—based on the original General Agreement on Tariffs and Trade—may survive without the original impulse that created them, and may serve to inhibit the overt use of tariffs and quotas as the geo-economic equivalent of fortified lines. And that inheritance of imposed amity may also dissuade the hostile use of all other “geo-economic” weapons, from deliberate regulatory impediments to customs-house conspiracies aimed at rejecting imports covertly—the commercial equivalents of the ambushes of war. But that

still leaves room for far more important weapons: the competitive development of commercially important new technologies, the predatory financing of their sales during their embryonic stage, and the manipulation of the standards that condition their use—the geo-economic equivalents of the offensive campaigns of war.

Today, there is a palpably increasing tension between the inherently conflictual nature of states (and blocs of states) and the intellectual recognition of many of their leaders and citizens that while war is a zero-sum encounter by nature, commercial relations need not be and indeed rarely have been. The outcome of that tension within the principal countries and blocs will determine the degree to which we will live in a geo-economic world.